

If You Can Justify It, Was It Ever Unequal?

How Organisational Justice Shapes the Link Between Inequality and Workplace Conflict

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Introduction

Background

- **Rising inequality is increasingly visible in organisations**, as executive-employee pay gaps continue to widen.¹
- **Perceived inequality carries psychological costs** - reduced trust, lower commitment, poorer wellbeing.²
- **It may also fuel interpersonal conflict**, since employees compare rewards with colleagues³ - yet its **employee relational effects remain underexplored**.
- **Organisational justice may explain this link**: employees tolerate inequality when it feels justified.⁴
- **Perceived disparities may signal how much an organisation values fairness and justice**; negative signals may foster resentment and interpersonal conflict.⁵

Hypotheses

H₁ = Levels of perceived economic inequality will be positively associated with employee relationship conflict.

H₂ = Levels of perceived economic inequality will be negatively associated with perceptions of organisational justice.

H₃ = Perceptions of organisational justice will be negatively associated with relationship conflict in the workplace.

H₄ = Perceived organisational justice will mediate the relationship between perceived economic inequality and relationship conflict

Method

Measures

Perceived Economic Inequality (Garca-Castro et al., 2019):

- 12 items, 7-point Likert scale
- E.g. "I know colleagues with very different levels of income"

Perceived Organisational Justice (Hansen et al., 2013):

- Facets: distributive, procedural, interpersonal, & informational.
- "To what extent are your outcomes (pay, recognition) reflective of your effort?" (distributive justice),
- "Have you been allowed to appeal decisions made about your job?" (procedural justice),

Workplace Interpersonal Conflict (Wright et al., 2017):

- 6 items, 5-point Likert scale.
- Scale prompts: "In the past 30 days, how often have you..."
- E.g. "Felt like you were treated unfairly by others at work"

Participants

Employed adults recruited via Prolific.
N = 395.

M_{age} = 39.44 (10.23)

Male: 50.4%. **Female:** 49.4%. **NA:** 0.3%

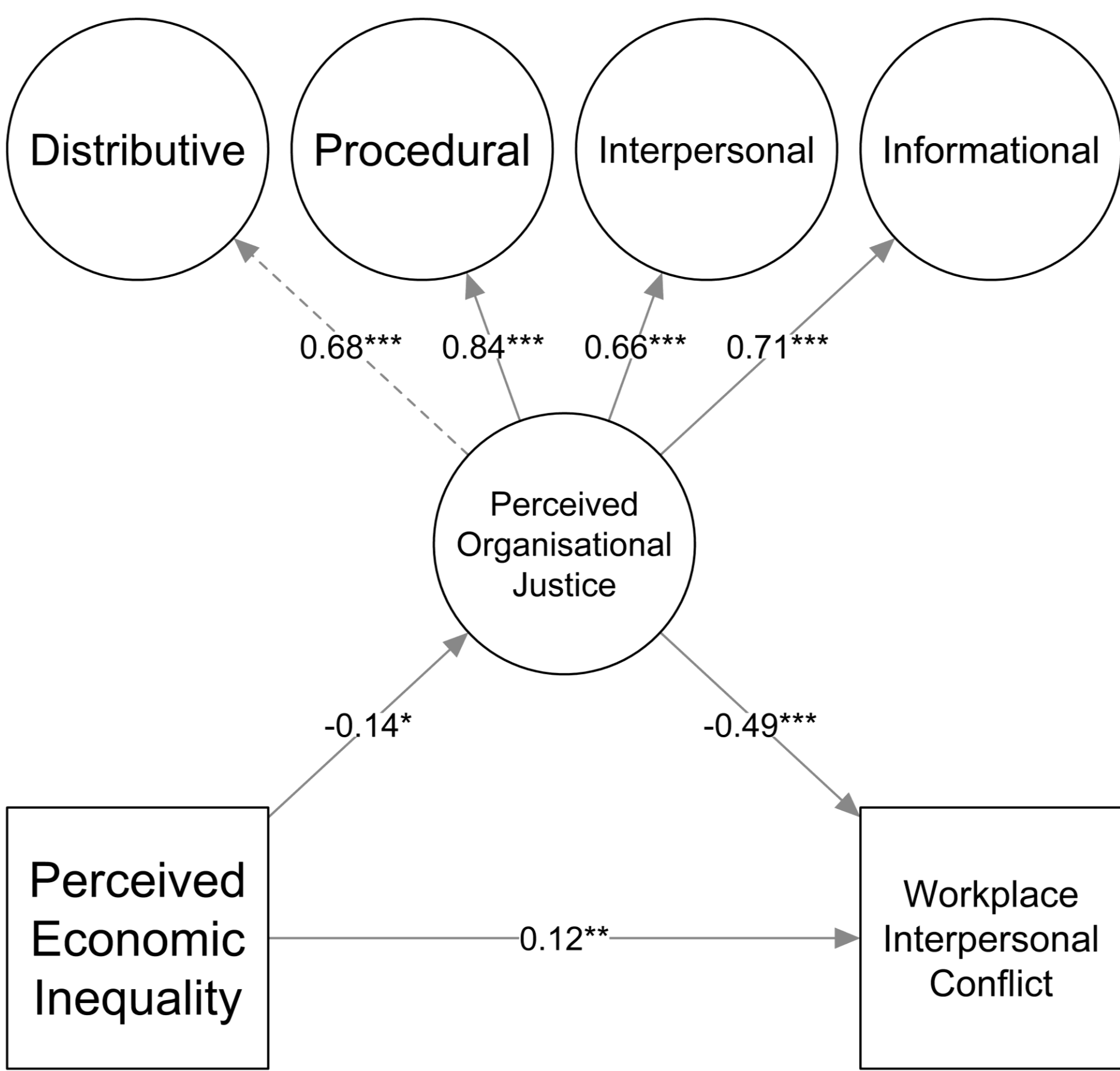
Predominantly White (75.2%)

Prevalent income bracket: £30,000–£44,999 (29.9%)

Prevalent industries: IT (14.43%), Healthcare (12.15%), public sector (12.15%), Education (9.87%).

Results

Figure 1. Primary analysis: Implementing structural equation modelling, a mediation analysis was conducted to test the hypotheses regarding whether Perceived Organisational Justice mediates the Inequality–Workplace Conflict Association



Note. Values represent standardised path coefficients (β). $p < .05^*$, $p < .01^{**}$, $p < .001^{***}$

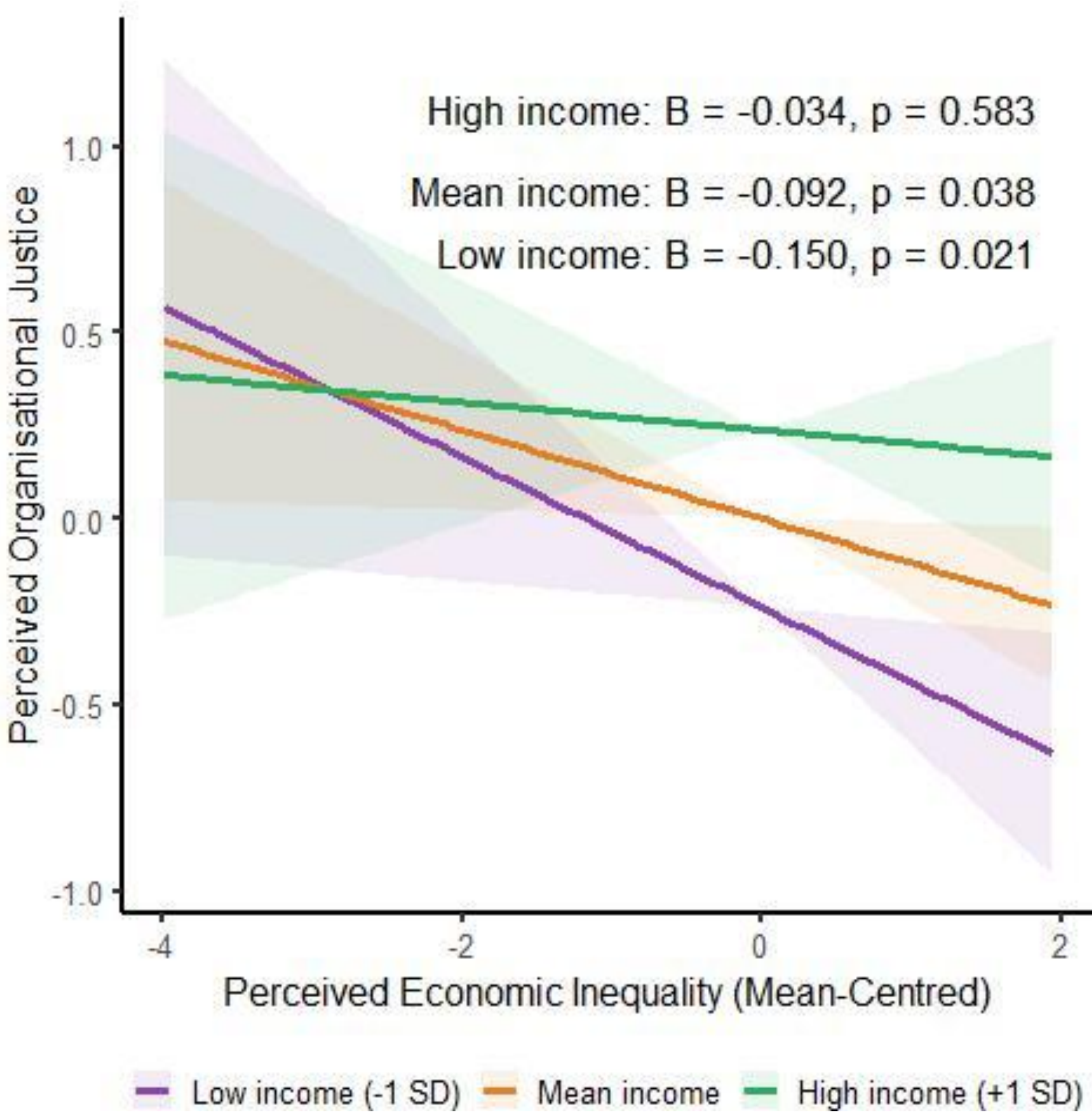
H₁ Supported: The total effect was **positive and significant** ($c = .192$, $p < .001$).

H₂ Supported: Perceived inequality was negatively associated with organisational justice.

H₃ Supported: Perceived organisational justice was negatively associated with conflict.

H₄ Supported: The indirect effect was significant ($\beta = .068$, $p < .05$, [.009, .091]), and the direct effect remained significant, **indicating partial mediation**.

Figure 2. Exploratory analysis: Structural equation modelling tested whether personal income moderated the indirect association between perceived economic inequality and workplace interpersonal conflict via perceived organisational justice.



Note. Shaded areas represent 95% confidence intervals. Low and high income represent 1 SD below and above mean personal income, respectively. Perceived economic inequality is mean-centred, such that 0 represents the sample mean. Unstandardized estimates reported.

- **Partial mediation** found.
- Higher income predicted greater perceived organisational justice

Conditional indirect effect:

- **Significant at low income** ($\beta = .10$, [.018, .190])
- **Significant at mean income** ($\beta = .06$, CI [.002, .115])
- Not significant at **high income** ($\beta = .02$, [-.074, .088])

No evidence of moderation:

- Inequality $\times$ income interaction was not significant ($p = .19$, [-.024, .224])
- Index of moderated mediation was not significant ($p = .22$, [-.113, .011])

Conclusion:

- **Perceived economic inequality was linked to greater workplace conflict**, partly through organisational justice.
- **Justice is not the whole story:** the remaining direct effect suggests other mechanisms also contribute.
- **Income may shape this pathway**, with a stronger pattern at lower incomes, though moderation was not statistically significant.

Future Direction:

- Replicate with a larger, adequately powered sample to test the tentative income pattern.
- Experimentally manipulate pay disparities to examine their causal effects on justice and conflict

Further information

References

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